

MARKET CAPITALIZATION

Market capitalization is the total value of the company. It is based on the profits they make and the current circumstances. So if a company has 20,000 shares and the share price is Rs. 100, then the entire company can be bought for Rs 20 lac (20,000 x 100). This is the market capitalization of the company. Higher the market capitalization, larger is the size of the company.

$$\text{MARKET CAPITALIZATION} = \text{PRICE PER SHARE} \times \text{NUMBER OF SHARES ISSUED}$$

The combined market price of all these small pieces is the market capitalization of the asset. So if one wants to own the entire asset, market capitalization is the price he needs to pay.

